



March 3, 2016

The Honorable Maria Pallante
Register of Copyrights
United States Copyright Office
101 Independence Ave., S.E.
Washington, D.C. 20559

Re: **Section 1201 Study; Notice and Request for Public Comments [Docket No. 2015-8]**

Dear Ms. Pallante:

BSA | The Software Alliance (“BSA”) appreciates this opportunity to respond to the Copyright Office’s Request for Public Comments on the “impact and efficacy” of the Section 1201 anti-circumvention provisions and the triennial rulemaking process.¹ As the leading advocate for the global software industry in the United States and around the world, BSA is uniquely positioned to offer perspectives on the many ways in which companies have leveraged Section 1201’s protections to facilitate the development of new distribution models designed to meet, and in many cases exceed, consumer demands. BSA members are among the world’s most entrepreneurial companies, creating software solutions that spark the economy and improve modern life.²

In its report on the Digital Millennium Copyright Act, the House Judiciary Committee explained that Section 1201 was designed to encourage the use of technological protection measures with two objectives in mind: (1) to “prevent piracy and other economically harmful uses of copyrighted materials,” and (2) to “support new ways of disseminating copyrighted materials to users.”³ BSA members have since the passage of the DMCA used technological protection measures for precisely these purposes.

Technological protection measures have made possible the software industry’s evolution of distribution models from retail sales of packaged software, to the on-line distribution of software, and more recently to a cloud-based software-as-a-service model. Whereas consumers’ use of software was once limited to a physical copy for use on a single device, access control technologies have enabled BSA members to offer account-based solutions that provide customers with affordable, immediate access to software anywhere, anytime and on any device. In this way, technological protection measures have enabled BSA members to make their innovations more broadly available to customers under more flexible terms and at more affordable prices while preserving the commercial value of the underlying work. The software industry has, of course, developed these distribution models to meet consumer demands.

However, Section 1201’s prohibition on circumvention and trafficking in circumvention technologies are important to encouraging the development and deployment of new business and delivery models while safeguarding protected works.

As the Request for Public Comments notes, technological measures can potentially impact activities unrelated to the “core concerns of copyright” and in isolated instances may be used to impede legitimate

¹ U.S. Copyright Office, Library of Congress, *Section 1201 Study: Notice and Request for Public Comment*, 80 Fed. Reg. 81369 (Dec. 29, 2015) [hereinafter 1201 Study RFC]

² BSA’s members include: Adobe, ANSYS, Apple, Autodesk, Bentley Systems, CA Technologies, CNC/Mastercam, DataStax, Dell, IBM, Intuit, Microsoft, Minitab, Oracle, Salesforce, SAS Institute, Siemens PLM Software, Symantec, Tekla, The MathWorks, Trend Micro and Workday.

³ Staff of H. Comm. On the Judiciary, 105th Cong., *Section-by-Section Analysis of H.R. 2281 as Passed by the United States House of Representatives on August 4th, 1998*, at 6 (Comm. Print 1998).

activities, consumer choice or robust market competition.⁴ For these reasons, BSA members support not only the protections of Section 1201, but also appropriate exceptions to those protections – including many of those adopted by rulemaking. We recognize the importance of the balance Congress struck in enacting Section 1201, and of the Copyright Office's efforts to maintain that balance through its triennial rulemaking. Given the rapid pace at which technology and the methods of attacking technological measures are evolving, we also welcome efforts by the Copyright Office to ensure that Section 1201 as a whole continues to strike the proper balance.

Many of the concerns mentioned by the Copyright Office in the Request for Public Comment were, in fact, anticipated by Congress. For instance, recognizing the potential for Section 1201 to impede certain non-infringing uses of copyrighted works, Congress included within the statute a number of statutory exemptions. In addition, Congress anticipated the potential for unforeseen technological changes to alter the balance of the statute in ways that could frustrate its ultimate objectives. Therefore, Congress wisely included within Section 1201 a “a ‘fail-safe’ mechanism” in the form of the triennial rulemaking to “monitor developments in the marketplace for copyrighted materials, and allow the enforceability of the prohibition against the act of circumvention to be selectively waived, for limited time periods, if necessary to prevent a diminution in the availability to individual users of a particular category of copyrighted materials.”⁵

Rather than amending Section 1201 in a manner that could undermine its fundamental balance, we encourage the Copyright Office to focus on identifying ways to improve the efficacy of the rulemaking process. The procedural reforms implemented as part of the sixth triennial rulemaking demonstrate that Section 1201 provides the Copyright Office with significant flexibility to adjust the rulemaking in ways that improve its efficiency.⁶ BSA also supports the approach taken by the Copyright Office in the sixth triennial rulemaking to address proposed exemptions that implicate public policy concerns other than copyright. When a proposed exemption raises public policy considerations outside of the Copyright Office's expertise, the Copyright Office should continue to seek guidance from agencies with primary jurisdiction in the relevant areas.

In our view, the framework set forth in Section 1201 continues to accomplish the important goals, and maintain the balance, envisioned by Congress. Importantly, the Copyright Office has exercised its stewardship over the Section 1201 rulemaking process to address specific problems as they arise, which can change quickly as technology and market demands evolve. While it may be appropriate to consider further improvements in the triennial process itself, we believe there is currently no factual basis or justification to warrant change in the fundamental structure of Section 1201.

Thank you again for the opportunity to share our views on these important issues.

Sincerely,



Christian Troncoso
Director, Policy

⁴ 1201 Study RFC at 81372.

⁵ H.R. Rep. No. 105-551, pt. 2, at 36 (1998).

⁶ See 1201 Study RFC at 81371.